



THE YEAR 2025

was marked by homebuyers lapping up luxury houses and developers moving away from mid-segment homes, in pursuit of higher margins.

DLF, India's biggest real estate developer, made headlines by selling over half its super luxury project in Gurugram—*The Dahlia*—before the launch. “The main launch will happen in April 2026. We sold over 55% units in the pre-launch phase,” Aakash Ohri, Joint Managing Director and Chief Business Officer at DLF Home Developers, tells *Business Today*.

Ohri expects buyers' changing aspirations to fuel demand for ultra-luxury and luxury housing in 2026. He believes the IPO rush, which has created many new millionaires, will fuel demand, illustrating how interconnected most markets are.

“Over the next five-ten years, we will see a reasonable amount of wealth creation. The two asset classes that will benefit will be gold and real estate,” he says, adding buyers' aspirations have risen. “They are not waiting to buy the next iPhone 17 or the bigger car. They are doing it today. Similarly, people want better and bigger homes,” he says.

While luxury homes have the full attention of big developers, the affordable and mid segment housing has been forsaken, reflecting in a decline in home sales this year.

Sales in the top seven cities witnessed a 14% year-on-year decline in 2025, with around 3,95,625 units sold in the year against 4,59,645 units in 2024, according to ANAROCK Research.

However, the sales value rose 6% from around ₹5.68 lakh crore in 2024 to over ₹6 lakh crore in 2025.

But some of these trends may change in 2026. Bengaluru-based builder Prestige Group expects mid-segment homes to make a comeback in 2026. “At Prestige, we will plan a lot more launches in the mid-segment (₹1.5-₹3 crore ticket size),” says Praveer Shrivastava, Sr. Executive VP, Residential, Prestige Group.

“We have seen that in the last couple of years, developers, buoyed by the momentum in housing sales, have veered towards the larger 2,000-6,000 sq. ft. format. The next year, a majority of our products will come with 1,500-2,000 sq. ft. dimensions,” he says. “Most customers prefer ₹2-3 crore houses. Ticket size is a function of the area and pricing per sq. ft. While the pricing per sq. ft. has gone up by 60% over the last four years, the area of the houses has also increased. To stay in the ₹2-3 crore bracket, the area will have to be optimised; 1,500-2,000 sq. ft. is the optimum area that can be done in the ticket size of ₹1.5-3 crore. This is where most customers are. We have to design our products around that.”

Unlike DLF's Ohri, Shrivastava is not convinced that the uptrend in the luxury segment will continue. “Luxury is always a niche market. Volumes will not come for any developer if we continue to supply only for the luxury market. Therefore, for volumes, and resultant sales value, people will have to move back to the mid-segment. It's a cycle,” says Shrivastava.

He, however, agrees that affordability has taken a hit due to high construction cost and

REALITY CHECK

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▶ Bengaluru-based builder Prestige Group expects mid-segment homes to make a comeback in 2026

▶ Experts say affordability has taken a hit due to high construction cost and land prices

▶ Some experts believe India's GCC story will continue to fuel the commercial real estate market in 2026